

1980. The place cost \$100,000 and you spent \$22,000 on the down payment and closing costs. Six years later you sold for \$150,000. You figure you made \$50,000—not bad on a \$22,000 investment.

But you forget the interest you could have earned on that \$22,000. You forget that every month for six years you paid mortgage, taxes, insurance, repairs, and other costs. Renters who plan to buy know their monthly outlay will go up. Landlords who rent a newly acquired mansion to others know they'll most likely have to plunk down cash, sometimes a lot of cash, to keep current. Rents alone seldom cover the mortgage and other expenses on a new real estate investment.

Suppose you had rented instead of bought that Atlanta house in 1980, and that the \$22,000 went into bank CDs instead of a down payment. Your net monthly outlay to rent would have been \$500 to \$1,000 less than to own, depending on the Atlanta rental market, your tax bracket, and other factors. Let's suppose you'd saved \$500 a month and put it into bank CDs. Investing that way is about as sexy as a medieval Mass. But with compounding over those high-interest-rate years, you'd have something like \$100,000 in cash by 1986. That's a gain of \$78,000 rather than \$50,000. And your money would be in the bank, earning interest, rather than tied up in a house that costs money to maintain and money to sell.

If you bought a house in Atlanta or elsewhere in 1980 you did better or worse than in our example. Similarly, if you bought in 1975 or 1985, rather than in 1980, you did better or worse than in our example. That's because timing makes such a difference. Anyone who can lie with statistics knows the importance of choosing one's base year. Choose carefully enough and you can make the South Florida land boom of the 1920s look like the crash of the 1930s. As they say, there are liars, damn liars, and statisticians.

People sometimes hit the real estate jackpot. They buy a \$50,000 house that goes to \$200,000 in a couple of years.